



DEAL ADVISORY WORKPLAN

Financial due diligence

Unless otherwise noted, our work will be undertaken on information prepared by and provided to us by Target management and will concentrate on last three fiscal years ended March 31, 2020, 2021, and 2022, ("FY20," "FY21," and "FY22"), and the latest year-to-date period in 2022 ("YTD23").

1. Quality of earnings

Propose potential adjustments to historical earnings before interest, taxes, depreciation, and amortization ("EBITDA") by considering the impact of:

- a) Normalization adjustments proposed by Management, if any;
- b) Significant new and lost customer relationships;
- c) The impact of significant accounting policies, provisions, management estimates or adjusting entries on the reported results;
- d) The impact of government assistance;
- e) The impact of related party transactions, if applicable; and
- f) Other unusual or non-recurring events or transactions that may have distorted results.

Supporting analysis to quality of earnings

Obtain historical analyses of revenue, margin, and expenses for the period under consideration and comment on:

- i. Revenue profile (e.g. by customer and product);
- ii. Any non-recurring components of revenue;
- iii. Revenue profile including any significant differences between timing of cash receipts and revenue recognized;
- iv. Commissions or any significant or unique arrangements including rebates and discounts;
- v. Employee costs and headcount by function, including capitalized amounts;
- vi. Property, office and supplies expenses (or equivalents);
- vii. Accounting, IT and other back-office expenses;
- viii. Customer acquisition expenses; and
- ix. Unusual or extraordinary items.

2. Working capital and normalized working capital

Obtain details of monthly working capital for the past two fiscal years and most recent available year to date and trailing twelve months period by main working capital items (i.e. accounts receivable, prepaid expenses, accounts payable, and accrued expenses) and comment on:

- a) Monthly working capital trends;



- b) The composition of individual working capital accounts; and
- c) Items that may impact normal working capital trends.

3. Net debt

Prepare a summary of debt and debt-like items (e.g. notes payable, letters of credit, capital vendor payables, deferred revenue, etc.), other assets, and liabilities and comment on unusual items, significant fluctuations and significant balances.

4. Capex

Comment on Target's fixed assets, capital expenditures, and inquire about:

- a) Historical, deferred, and planned maintenance and growth capital expenditures;
- b) Impairment write-downs and other issues; and
- c) Capitalized development costs, if any.

5. Financial statement/accounting overview

Understand the Target's financial statement preparation process including its finance function, consolidation process, financial reporting framework, and management reporting relationships.

6. Sale and Purchase Agreement Support

Obtain and read the draft share purchase agreement and comment on the following:

- a) Working capital mechanism;
 - b) Accounting definitions;
 - c) Purchase price equation; and
 - d) Other assistance as required.
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UK Tax Due Diligence: scope of work

Transaction background

We understand that Dye & Durham Corporation ("DDC"), are proposing to acquire Jurito Limited and its UK subsidiaries (the "Target"). We have prepared this scope for tax due diligence services in respect of the proposed acquisition.

Please note, the scope of work set out below shall be provided on the basis of our understanding of law and practice as at the date of issue of the report in final form and will not be updated for subsequent changes in law or practice. Please note our tax advice under this engagement will be restricted to the tax implications of any particular transaction and that nothing provided by us should be interpreted as advice on the wider merits of any such transaction.

Approach

Our UK tax due diligence procedures will cover Jurito Limited and its following subsidiaries (together the "Target"):

1. Quill Pinpoint Limited
2. Quill Pinpoint Holdings Limited
3. Indigo Legal Systems Limited
4. Professional Technology (UK) Limited

Our work in respect of corporation tax will cover the financial periods ended 31 March 2021 and 31 March 2022 and any other periods open to normal HMRC enquiry. Our work in respect of VAT will cover the last four years. Our work in respect of Employment taxes will cover the last four tax years ended 5 April 2022 for PAYE, and last six tax years ended 5 April 2022 for National Insurance Contributions. Together, these periods are referred to as the "Historical Period".

Where applicable, our work will also cover the "Period to Date" which is defined as the 9 months ended 31 December 2022.

The Target also has two dormant UK subsidiary companies: Solicitors Case Management Systems Limited and Indigo Legal Solutions Limited. We will not perform any UK tax due diligence procedures on this entity other than to confirm its dormant status.

Our procedures will be undertaken through discussions with Management (and, where appropriate, the Target's tax advisers), publicly available information and through reading documents requested and made available to us throughout the process.

Our findings will be presented in the form of a tax due diligence report in which we will comment on key tax risks and exposures which come to our attention during our work. The procedures we will use to perform the work set out in this scope of work will not constitute an audit or review made in accordance with any generally accepted auditing standards.

Tax profile

1. Comment on Target's internal tax compliance and reporting functions and use of tax advisors.
2. Comment on ongoing HMRC inspections / visits / audits involving Target as well as any which have closed within the Historical Period. Where applicable, we will summarise the outcome (or Management's assessment of the expected outcome) and highlight actions taken by Management as a result.

3. Comment on tax planning that has been implemented by Target, and whether this planning has been disclosed to HMRC.
4. Comment on written tax advice received by Target in respect of acquisitions, disposals and/or reorganisations which have occurred during the financial periods ended 31 March 2021 and 31 March 2022 and Period to Date. We will highlight tax issues which have been specifically raised by the advice received by Target. As part of our due diligence work, we will not re-perform any analysis conducted, or perform any analysis which has not been undertaken. To the extent no formal advice was sought, we will highlight this, but we will not perform any detailed analysis to confirm whether the transaction(s) would give rise to any tax risks.

COVID - 19

5. Comment on whether Target has made claims under the Coronavirus Job Retention Scheme ("CJRS"). We will enquire of Management as to the approximate number of employees affected and total value of claim(s) made, the time period over which the claims were made, and comment on HMRC correspondence in respect of the claims. We will not analyse or comment on the calculation of the claims.
6. Comment on whether the Target had entered into tax deferrals or time to pay arrangements as a result of COVID-19, in respect of corporation tax, VAT, or PAYE / NIC, and whether any liabilities remain to be settled.

Corporation tax

7. Summarise and comment on the submission status of the corporation tax computations and returns for the financial years ended 31 March 2021 and 31 March 2022. By exception, we will also comment on corporation tax computations that have been re-submitted to HMRC for earlier periods, where these remain open to HMRC enquiry under the normal (i.e. not discovery) HMRC enquiry window.
8. Summarise and comment on the corporation tax payment position for the financial year ended 31 March 2022, and Period to Date. Confirm whether a Group Payment Arrangement is in place, and which companies this covers.
9. Summarise and comment on the Target's group relief or other tax grouping arrangements, and the potential impact of the transaction on these grouping arrangements.
10. Enquire with Management as to whether there have been intragroup asset transfers within the last 6 years ended 30 September 2022.
11. Comment on elections for tax concessions or similar arrangements which have been accepted and which may be withdrawn by HMRC.
12. Summarise and comment on tax attributes in respect of tax losses and / or capital allowance pools included within the submitted corporation tax computation for the financial year ended 31 March 2022 and provide general comments on their availability for use in future periods. If applicable, we may also comment on potential tax attributes in respect of the Corporate Interest Restriction rules which have been disclosed in the latest submitted corporation tax computation (i.e. carried forward interest allowance or the potential to reactivate disallowed interest).
13. Comment on the shareholder, intra-group and third party financing of the Target. In respect of the shareholder and intra-group financing, we will comment on the corporation tax treatment of interest disclosed within the submitted corporation tax computation for the financial year ended 31 March 2022 (including the application of restrictions such as thin capitalisation, late paid interest, unallowable purpose, Corporate Interest Restriction and the Hybrids and Other Mismatches ("anti-hybrid") rules). As part of our due diligence work, we will not re-perform any analysis conducted by Target or their tax advisers, nor perform any analysis which has not been

undertaken. To the extent no formal advice was sought, we will highlight this, but we will not perform any detailed analysis to confirm whether the transaction would give rise to any tax risks.

14. To the extent not covered above, comment on potential UK withholding tax implications in respect of payments of interest made during the Historical Period, or where relief has been obtained.
15. Comment on disclosed material intra-group or other non-arm's length trading arrangements and the basis of pricing. Summarise correspondence with any tax authority in relation to the transfer pricing policy. Note that our scope of work will not include any detailed transfer pricing work and we will not independently seek to confirm the appropriateness of transfer pricing policies, including for the avoidance of doubt undertaking any benchmarking studies.
16. Comment on transactions with directors/shareholders to the extent these are not commented on as part of the above scope item.
17. Summarise and comment on Research & Development ("R&D") tax credits claimed in the financial years ended 31 March 2021 and 31 March 2022 and the basis on which these have been claimed, including whether Target sought professional advice in respect of the claims. Comment on correspondence with HMRC in respect of these claims, including (if applicable) agreements that have been reached with HMRC with regards to eligible R&D expenditure.

UK VAT

18. Enquire as to the VAT registration status of Target and comment on current/previous VAT Groups where members share joint and several liability for VAT debts.
19. Enquire of Management what VAT periods are operated and whether all VAT returns and payments for the 12 months prior to the most recent VAT return period date have been submitted within the relevant deadline and whether associated Surcharge Liability Notices have been received.
20. Enquire whether VAT returns have been submitted using bridging software. Comment on whether the Target has made any changes to its VAT return process to comply with Making Tax Digital obligations. Please note that a diagnostic review to determine compliance with "digital links" requirements is outside the scope of our work.
21. Provide brief comments on the VAT liability the Target applies to income sources, the processes in place to determine the VAT treatment of supplies made, and whether any agreements have been reached with HMRC in connection with the VAT treatment of supplies made. Please note, this will not constitute a detailed product file review for VAT purposes.
22. If applicable, comment on the evidence held to support zero rating or exemption of supplies made through a discussion with Management. Please note this will not involve a review of documentary evidence.
23. Comment on the VAT treatment applied to transactions between Target companies and costs used jointly by Target companies.
24. Where applicable, we will also comment on special accounting regimes applied by the Target or agreements with HMRC that have been implemented for this purpose.
25. Comment on Target's VAT recovery status, whether VAT recovery is routinely restricted on statutorily blocked items, and the application of a partial exemption (or business/non-business) method, where appropriate.

26. Enquire whether VAT has been incurred on 'deal fees' relating to material restructuring /reorganisations, the extent of recovery claimed and whether advice/HMRC agreement has been obtained in this regard.
27. Comment on whether Target has made, or identified any requirement to make, disclosures for VAT compliance errors in the Historical Period and comment accordingly. Enquire of Management whether appropriate controls have been introduced to prevent reoccurrence.
28. Comment on the VAT treatment of Target's property interests including any obligations under the capital goods scheme and whether any options to tax have been made in relation to UK property interests.

Employment taxes

29. Enquire of Management whether the Target has made its Real Time Information submissions on an accurate and timely basis, and whether PAYE and NIC remittances have been made on time.
30. Enquire of Management whether officeholders (including both executive and non-executive directors) are paid via the payroll and provide an estimate of potential liabilities where appropriate. Please note that this will not include a detailed review of the employment status of officeholders.
31. Summarise and comment on potential PAYE and NIC issues (including an estimate of any liabilities) relating to the engagement of self-employed contractors. Please note that this will not involve a detailed analysis nor review of employment status, but we will comment on the approach taken in relation to the engagement of self-employed contractors and highlight any risks identified.
32. Enquire of Management whether termination payments have been made to employees on redundancy or on ceasing their employment within the Historical Period and Period to Date, and if so, summarise potential PAYE and NIC issues (including an estimate of any liabilities).
33. Enquire of Management whether non-cash benefits are provided to employees and if so, consider how the Target accounts for taxable benefits and comment on PAYE and NIC issues arising in respect of these.
34. Enquire of Management whether the Target has a PAYE Settlement Agreement in place with HMRC and if so, comment on which items are included and the approximate annual value.
35. Enquire of Management whether the Target operates tax efficient pay arrangements (e.g. salary sacrifice).
36. Comment on the processes and controls in place in respect of expense claims.

Employment related securities

37. Comment on the potential for historical PAYE / NIC charges to arise in Target in relation to acquisitions or disposals of employment related securities within the Historical Period and Period to Date.
38. Comment on the potential for future PAYE / NIC charges to arise in Target in relation to the disposal of employment related securities on the proposed transaction.
39. Confirm Target's compliance with annual reporting requirements for employment related securities for the Historical Period and Period to Date.
40. If applicable, comment on rules of share incentive plans and summarise the impact of the transaction on such plans, specifically in terms of the vesting and lapsing of awards.

41. If applicable, estimate the PAYE and NIC exposure and the availability of corporation tax relief under share incentive plans resulting from the transaction.

Assumptions and limitations

42. To the extent that tax liabilities or risks are identified as part of the due diligence procedures we will quantify tax exposures based on the information provided and/or will comment on the calculation of any liability provided to us. However, our scope of work excludes any follow up work to quantify any exposures where the information is not readily available including calls and correspondence with advisers on the technical detail behind the calculations. We would be happy to agree a scope and fee proposal for any items not covered in the above scope of work, including those set out below.
43. Our advice will not constitute a transfer pricing analysis to support the quantum of debt, interest rate or pricing of related party transactions. Our work will be limited to commenting on the potential application of UK transfer pricing legislation.
44. The National Minimum Wage ("NMW") is currently an issue across a number of sectors and you may wish to assess liabilities, risks or exposures in this area.
45. In respect of any acquisitions, disposals or reorganisations within the Historical Period, our scope of work does not include us re-performing any analysis which has been obtained within advice received by the Group. To the extent no formal advice has been sought, we will not perform any detailed analysis to confirm whether or not a transaction could give rise to any tax risks.
46. For the avoidance of doubt, our work will not extend to a detailed review of share incentive plans (or other documentation), obtaining clearances or confirmations from HMRC, or review of contractual protections against identified risks.